The report audit

A desk's report is audited against **the filings the desk read**, named on the report's first line: the latest 10-K, the latest 10-Q and the latest earnings release (the 8-K's Exhibit 99.1), with the XBRL company facts as the statements' data. Record where you found each number.

The core claims, fixed for everyone

Eight from the latest 10-K, three from the latest earnings release. Every desk states them, so any two desks can be compared.

#	Claim	Where it lives
1	Total revenue, latest fiscal year	income statement; the revenue tag for that period
2	Revenue growth versus the prior year	computed from the two years in the same filing
3	Operating income and operating margin	income statement; margin = operating income ÷ total revenue
4	Net income attributable to the company	income statement
5	Diluted earnings per share, GAAP	per-share section
6	Return on average equity	net income ÷ the average of this year's and last year's stockholders' equity, balance sheet
7	Debt to equity	long-term debt including its current portion ÷ stockholders' equity, balance sheet
8	Free cash flow	cash from operations − additions to property and equipment, cash flow statement
9	The latest quarter's revenue	the earnings release, income statement
10	The quarter's growth versus the same quarter last year	computed from the release's two columns

#	Claim	Where it lives
11	The quarter's diluted EPS, GAAP	the release, per-share section

Then **every other number** in the Financial Analyst's part (peers, extra ratios, P/E), each with the same marks. Then two rows for the report itself: **the template** (the five parts present: Overview; Market Positioning and Growth Outlook; Valuation Insights; Future Developments and Strategic Recommendations; Investment Recommendation) and **the recommendation** (Buy, Hold or Sell names a number the report states, and the thesis uses numbers the audit marked correct).

How to mark a claim

- **Correct** — the report's number matches the filing after rounding to what the report shows. A computed claim is correct if its inputs are in the filing and the arithmetic holds.
- **Wrong** — the filing states the claim, at that period and in that definition, and the report's number differs. Write the filing's number beside it.
- **Unsupported** — the report gives a number the filings do not contain: a guess, a different period, or a different definition presented as this one.
- **Missing** — the report does not state the claim. A non-GAAP EPS figure, even labeled, does not count as claim 5 or 11; if the report states only that, mark the claim missing.
- **Not in filings** — the filings do not state the claim and the report gives no number for it. This counts for nobody. A number the report invents for such a claim is **unsupported**.

Report two counts: **errors** (wrong plus unsupported) and **missing**. A desk can look accurate by saying less, so a comparison of two reports always shows both counts.

Start here: the company's filings on SEC EDGAR (the company search) and its XBRL company facts (`data.sec.gov/api/xbrl/companyfacts/CIK##########.json` , ten digits). For Costco: the 10-K filing list, the 8-K filing list (the latest earnings release is the newest 8-K that reports Item 2.02), and the company facts.

Filled example — the shape, not your answer

A first-take report on Costco, audited against the filings named on its first line. Your table carries the report's figure and the filing's; this one shows in words what each mark looks like,

so it holds for any year's filings.

#	Report said	Filing says	Mark	Where
1	total revenue in billions, rounded	the same figure in millions	Correct	10-K income statement
2	revenue growth	this year's total revenue ÷ last year's − 1, both in the same filing: the same	Correct	Computed
5	a diluted EPS some cents off the per-share line	the per-share line's figure, written beside it	Wrong	10-K per-share section
6	return on year-end equity	net income ÷ the average of the two years' equity: another number	Unsupported (definition)	10-K balance sheet
7	debt to equity on long-term debt alone	the current portion included: another number	Unsupported (definition)	10-K balance sheet
11	(only the adjusted EPS, labeled)	the quarter's GAAP diluted EPS	Missing	Release, per-share section
—	Walmart's operating margin	Walmart's operating income ÷ its total revenue, from its own latest 10-K: the same	Correct	Walmart's 10-K
Template	five parts present	—	Correct	—
Recommendation	Buy, on the revenue growth	claim 2 correct	Correct	—

The rows not shown are correct. Errors: 3. Missing: 1.

Definitions are the common trap. Where a filing offers two (gross margin on net sales or on total revenue, equity at year end or on average), the claim's definition is the one in the table above, or, where the table names none, the one the company itself uses; the Week 2 page works the gross-margin case. An auditor names the definition.